

77. **Where trust funds are irregularly invested, the tenant for life and the trustees may be called upon to answer the difference.**—Where a tenant for life has been wrongly in possession of the dividends of a stock producing an extraordinary income, he will be accountable to the remainderman for the excess of his receipts beyond the income which he would have received had the fund been properly invested (*f*). Upon the question whether, if the tenant for life be insolvent, the trustees should be decreed to make compensation to the suffering party, Lord Eldon said, he would not state what the Court would do in such a case, for it depended on many circumstances (*g*). In the case of *Dimes v. Scott* (*h*), where the executors were *expressly directed* to convert the testator's personal estate into money, and invest the proceeds in * Government or real securities in trust [*335] for A. for life, remainder to B., and the executors for eleven years permitted A. to receive 10 per cent. interest upon an Indian loan, it was held they were chargeable with the difference between 10 per cent. interest which they had wrongfully paid, and the interest that would have resulted from a conversion into Three per cent. Consols at the expiration of one year from the testator's decease. And in other later cases the Court, under similar circumstances, has apparently viewed the trustees as liable, and the tenant for life as liable over to the trustees, to the extent of his benefit (*a*).

78. **Of conversion of assets in India.**—Where a testator dies in India, and neither the fund nor the parties entitled to it are under the jurisdiction of the Court of Chancery, it is not the duty of the executor in India to transmit the assets to England to be invested in the Three per cent. Consols, but he may invest the property in the securities of the government of India, and the tenant for life will be entitled to

(*f*) *Howe v. Earl of Dartmouth*, 7 Ves. 137, see 150, 151; *Mills v. Mills*, 7 Sim. 501; and see *Pickering v. Pickering*, 4 M. & Cr. 289.

(*g*) See *Howe v. Earl of Dartmouth*, 7 Ves. 150; *Holland v. Hughes*, 16 Ves. 114.

(*h*) 4 Russ. 195; and see *Mehrtens v. Andrews*, 3 Beav. 72.

(*a*) *Hood v. Clapham*, 19 Beav. 90; *Bate v. Hooper*, 5 De G. M. & G. 338.